بِسۡمِ ٱللَّهِ ٱلرَّحۡمَٰنِ ٱلرَّحِيمِ

In the name of God, Most Gracious, Most Merciful

MGT 101

PSY 101 MIDTERM PREPERATION FILE 2024 BY ZB

LESSON NO 1 – 18

- Financial Accounting is the maintenance of daily records of all financial transactions to prepare suitable information regarding the financial affairs of a business.
- A dealing between two persons involving money or a valuable thing is called a transaction
- Budget is a plan of income, expenses, and other financial operations for a future period
- The concept of Barter trading involves trading one commodity or service for another commodity or service.
- In accounting, every transaction worth recording is translated in terms of money
- When money is paid at the same time as the item is exchanged, it is termed a cash transaction.
- The simplest form of business organization, owned and controlled by one person, is called sole proprietorship
- The liability of each partner in a partnership is unlimited
- A voluntary association of persons created by law, having a separate legal entity, is known as a joint stock company
- The concept of Money Measurement refers to valuing all goods/services in terms of a common commodity called money.
- A Budget is an organization's plan of a future period expressed in money terms.
- The system of accounting that records both aspects of a transaction is called Double entry book keeping
- Money or resources invested in a business by the owner is called Capital
- The income left after all expenses are deducted is referred to as Net Profit

- Expenses that provide immediate benefit to the business are called Revenue expenses.
- In cash accounting, events are recorded when actual cash or Cheque is received or paid.
- The system of accounting that records events when they occur, regardless of cash movement, is known as Accrual accounting.
- The value attached to the good reputation earned through clean conduct of business is called Goodwill
- An organization's obligation to provide a benefit or asset on a future date is known as a Liability
- Profit is calculated by deducting Expenses from total income.
- In accounting, the treatment of a business as independent from its owners is called the Separate Entity Concept
- The system of recording only one aspect of a transaction is called Single Entry Bookkeeping
- In double entry bookkeeping, for every Debit there is an equal Credit
- A register used to record goods sold on credit is known as Udhar Khata
- The account that receives a benefit in a transaction is Debited
- The Accounting Equation is the equation that represents the relationship between assets, liabilities, and capital.
- A benefit that the business will obtain from items like cash or equipment is classified as an Asset
- The liability of the business towards its owners is called Capital
- Assets are the properties and possessions of the business, and can be classified into Tangible, and Intangible assets.
- When a liability is created, the benefit is provided to the business by that account, so it is Credited
- Profit is the excess of Income over expenses in a specific period.
- When an asset is sold or disposed of, the asset account provides a benefit to the cash account, so the asset account is Credited
- Liabilities are the Debts and obligations of the business.
- Revenue Expenditure refers to daytoday expenses whose benefit is drawn Immediately
- Capital Expenditure is the amount used to acquire or improve longterm assets, such as Property
- or equipment.
- An increase in an asset is always recorded as a Debit in the account.

- Income is the value of goods or services that a business charges from its customers, or the reward received from Resources committed in the business.
- The total of all balances on the Debit side is always Equal to the total of all balances on the Credit side.
- All cash transactions (receipts and payments) are recorded in the Cash Book
- The financial statements are prepared from the Trial Balance , which shows the arithmetic accuracy of the accounting system.
- In Pakistan, the financial year starts from 1st of July and ends on 30th of June.
- All bank transactions (receipts & payments) are recorded in the Bank Book
- The calculation of Profit & loss is the most important objective of the accounting function.
- The account that summarizes the profitability of the organization for a specific accounting period is called Profit & Loss Account
- When the debit side of a ledger is greater than the credit side, the balance is called Debit Balance
- If both sides of the trial balance are equal, it shows the Mathematical accuracy of the books of accounts.
- Expenses incurred directly in connection with the sale of goods are called Selling Expenses
- Receipt & payment account is the summarized record of actual cash receipts and actual Cash Payments during the period.
- Assets are economic resources owned by a business and are expected to benefit future operations in the form of positive future cash flows.
- Liabilities are the debts and obligations of the business, and the entity to whom the debt is owed is called a creditor.
- Tangible assets, which have a physical existence, include items such as plant, machinery, and building.
- Fixed assets are subject to depreciation, which is the method of charging the cost of longterm assets to the profit and loss account.
- Capital is the funds invested by the owners of the business and is treated as a liability.
- Current assets are expected to be received within one year of the balance sheet date.
- Longterm liabilities are debts that will become payable after more than one year from the balance sheet date.
- Working capital is the difference between current assets and current liabilities.

- A balance sheet is a position statement that shows the standing of the organization in monetary terms at a specific time.
- Depreciation is calculated by dividing the total cost of the asset by the total number of estimated years.
- Opening stock is the value of goods available for sale at the beginning of an accounting period.
- Closing stock is the value of goods unsold at the end of the accounting period.
- In a manufacturing concern, the stock that is neither in the form of raw material nor finished goods is called work in process
- Cost of goods sold is the cost of goods manufactured plus opening stock of finished goods less closing stock of finished goods
- The FIFO method assumes that the first merchandise purchased is the first to be issued.
- In the LIFO method, the recently purchased merchandise is assumed to be issued first.
- The weighted average method calculates the average cost by dividing the total cost of goods available for sale by the number of units in inventory
- Accumulated depreciation is the total depreciation charged to profit and loss account from the year of purchase to the present year
- Overhead costs are the additional costs incurred in the manufacturing process, such as factory utilities and supervisor salaries.
- The journal entry for the purchase of raw material in a manufacturing concern is Debit Stock/Material Account; Credit Cash/Bank/Creditors

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https://whatsapp.com/channel/0029VaODheTDp2Q8YVcoON2p

WhatsApp channel 02 :

https://whatsapp.com/channel/0029VafvOcy90x2tPbUaX02I

YouTube:

https://youtu.be/-AMj4iNz0UE?si=hg29pJZ1kujzg57J

Passing criteria for a course

Letter Grade	Grade Points	Equivalent Percentage
A+	4.00	90-100
A	4.00	85-89
A-	3.66 - 3.99	80-84
B+	3.33 - 3.65	75-79
B	3.00 - 3.32	71-74
B-	2.66 - 2.99	68-70
C	2.00 - 2.65	61-67
D	1.00 - 1.99	50-60
F	0.00	00-49

Passing Criteria for a Course:

The passing criteria is defined in such a way that it ensures the student shall be consistent in his studies throughout the semester.

Therefore, for passing a course/subject, student shall fulfill the following:

a) Secure minimum **20**% score in Formative Assessments/Mid terms

b) Secure minimum **20**% score in Final Term Examinations.

c) Secure at least **40**% marks in aggregate while fulfilling the above requirements

Course Selection and Credit Hours

Q: How do I select courses when the course selection is open?

A: Follow these steps:

1. Check the credit hours allowed by your university (e.g., 21, 18, or 15 credit hours).

2. Each subject typically has 3 credit hours.

3. Divide the total allowed credit hours by 3 to determine how many subjects you can select.

Examples:

21 credit hours = 7 subjects

18 credit hours = 6 subjects

15 credit hours = 5 subjects

Remember, the university may allow different credit hours for each student, so check your specific allowance.

By following these steps, you can make informed decisions during course selection and manage your credit hours effectively.

.....My Family.....

"Just Relax and focus! Exams are not difficult. Put in your 100% effort and trust in Allah.

.. ..AL-Quran.....

"And indeed, with hardship comes ease." (Quran 94:5)

Remember, I'm here to support you! Stay brave and strong!"

May Allah bless you